

SOVEREIGN GOLD BONDS

The third form to buy gold is via the Sovereign Gold Bonds (SGBs). These are similar to lending the bank or government our money, only here instead of money we lend gold and we earn interest in terms of gold itself. Let us say, we lent the bank 100 grams of gold at a 2.5% interest rate. This means that our principal is 100 grams gold and our interest is 2.5 grams of gold. So, at the end of one year, we will receive 102.5 grams of gold instead of 100 grams.

The gold prices may go up or down, and that does not affect our return in terms of quantity. So, our net return will be a combination of the gold price changes and the interest earned in form of gold. This is one of the best ways to invest in gold. Moreover, there are no holding costs. This was initiated in India in 2015 under the Gold Monetization Scheme. This is suitable when consumption value is not the priority.

So, the above mentioned are the three forms in which we can buy gold. Each form has its pros and cons and depending on what we need, we will then select the form in which we will buy gold.

